Concept 1 – Introduction and objective of PMLA

The Prevention of Money Laundering Act (PMLA), 2002 was enacted in January 2003. It contains 10 Chapters, 75 Sections and One Schedule.

The Act along with the Rules framed thereunder have come into force with effect from 1st July 2005.

Money Laundering is the process of conversion of such proceeds of crime, the 'dirty money', to make it appear as 'legitimate money'.

India has become a member of the Financial Action Task Force and Asia Pacific Group on money laundering, which are committed to the effective implementation and enforcement of internationally accepted standards.

Objects of the Act are:

a) To prevent and control money laundering.
b) To confiscate and seize the property obtained from the laundered money and
c) To deal with any other issue connected with money laundering in India.

Concept 2 – Process of Money Laundering

1. Placement:

a) The money launderer introduces illegal funds into the financial system by breaking up large amounts of cash into smaller, less noticeable sums.
b) These smaller sums are then deposited into a bank account or used to purchase financial instruments like cheques and bank drafts, which are subsequently deposited into one or more accounts at different locations.

2. Layering:

a) In this stage, the money launderer moves the funds through a series of continuous conversions or transfers across multiple accounts within the financial system.
b) This is done to hide the funds origin and distance them from their criminal source.
c) The launderer may use various accounts, often in different countries, especially in jurisdictions that do not cooperate with anti-money laundering investigations.

3. Integration:

a) In the final stage, the laundered funds enter the legitimate economy, mixed with legally earned money.
b) The launderer invests these funds into real estate, business ventures, and luxury assets allowing them to enjoy the money without fear of detection.

Concept 3 – Offences and Punishment under Money Laundering

Whosoever directly or indirectly attempts to indulge or knowingly assists or knowingly is a party or is actually involved in any process or activity connected with the proceeds of crime including its concealment, possession, acquisition or use and projecting or claiming it as untainted property shall be guilty of offence of money-laundering.

Types of Offences: The offences listed in the Schedule the Act, are scheduled offences and are divided into three parts - Part A, B and C.

a) Part 'A' offences to the Schedule have been listed in 29 paragraphs and it comprises of offences under Indian Penal Code, offences under Narcotic Drugs and Psychotropic Substances Act, 1985, offences under Explosive Substances Act, 1908, offences under Unlawful Activities (Prevention) Act, 1967, etc.
b) Part 'B' of the Schedule are offences under the Customs Act, 1962, if the total value involved in such offences is ₹ 1 crore rupees or more.
c) Part 'C' deals with trans-border crimes and is a vital step in tackling Money Laundering across International boundaries.

The Scheduled Offence is called Predicate Offence and the occurrence of the same is a prerequisite for initiating investigation into the offence of money laundering.

Punishment for the offence of Money Laundering:

a) Rigorous imprisonment for a term which shall not be less than 3 years but which may extend to 7 years and shall also be liable to fine.
b) But where the proceeds of crime involved in money-laundering relate to any offence specified under paragraph 2 (Offences under the Narcotic Drugs and Psychotropic Substances Act, 1985) of Part A of the Schedule, the maximum punishment may extend to 10 years instead of 7 years.
c) Property made out of proceeds of crime, directly or indirectly attached and/or confiscated by the authority.

Concept 4 – Financial Intelligence Unit (FIU-IND)

Financial Intelligence Unit – India was set by the Government of India during November 2004 as the central national agency responsible for receiving, processing, analyzing and disseminating information relating to suspect financial transactions. FIU-IND is an independent body reporting directly to the Economic Intelligence Council (EIC) headed by the Finance Minister.

Concept 5 – Obligations of the Reporting Entity

'Reporting Entity' means a banking company, financial institution, intermediary or a person carrying on a designated business or profession.

a) Every reporting entity have to maintain a record of all transactions covered as per the nature and value.
b) They shall furnish to the Director (FIU) within such time as may be prescribed information relating to such transactions.
c) They shall verify the identity of its clients and shall identify the beneficial owner, if any, of such of its clients.
d) They shall maintain record of documents evidencing identity of its clients and beneficial owners as well as account files for a period of 5 years in case of record and information relating to transactions.
e) They shall maintain the same for a period of 5 years after the business relationship between a client and the reporting entity has ended or the account has been closed, whichever is later.

Concept 6 – Procedure of Investigation

Enforcement Directorate: The Directorate of Enforcement is responsible for enforcement of the Foreign Exchange Management Act, 1999 (FEMA) and certain provisions under the Prevention of Money Laundering Act, 2002. The PMLA empowers ED officers to investigate & prosecute money laundering cases and attach related properties.

Adjudicating Authority: Where the Adjudicating Authority decides that any property attached by Enforcement Directorate is actually involved in money-laundering, Adjudicating Authority shall, by an order in writing confirm the attachment of the property made or retention of property or record seized.

The Act provides for reciprocal arrangements and bilateral agreements between countries for the purpose of either enforcing the provisions of this Act or for the exchange of information.

Appellate Tribunal: Under Section 25, the Central Government has established an Appellate Tribunal. The Tribunal consists of a chairperson and 2 other members. Appellate Tribunal has been constituted to hear appeals against the orders of the Adjudicating Authority.

Special Court: For trials under Section 4 of PMLA, 2002, the Central Government designates Special Courts, in consultation with the Chief Justices of High Courts, for specific areas or cases. These Special Courts can also handle related offenses as per the Code of Criminal Procedure. Any money laundering offense and connected scheduled offenses are tried by the Special Court in the area where the crime was committed.

Concept 7 – STR (Suspicious Transaction Reports)

Every banking company require to furnish details of suspicious transactions under PMLA act, 2002 and rules. It means a transaction whether or not made in cash which, to a person acting in good faith:

a) Gives rise to a reasonable suspicion that it may involve the proceeds of crime, or
b) Appears to be made in circumstances of unusual or unjustified complexity, or
c) Appears to have no economic rationale or bonafide purpose.

Concept 8 – Obligations of the Reporting Entity

As per the Prevention of Money Laundering (Maintenance of Records) Rules, 2005,
Every reporting entity shall maintain record of all transactions, including record of-

a) All cash transactions of the value of more than ₹10 lakhs or its equivalent in foreign currency.
b) All series of integrally connected cash transactions within a month, each below ₹10 lakhs (or equivalent foreign currency) but aggregating to over ₹ 10 lakhs (or equivalent) in that month. All series of integrated transaction below ₹ 10 lakhs per month.
c) All transactions involving receipts by non-profit organizations of value more than ₹10 lakhs, or its equivalent in foreign currency.
d) All cash transactions involving forged/counterfeit currency or forged documents/securities used

to facilitate the transaction.

e) Any suspicious transactions made in cash or otherwise and in a way as prescribed.

f) All cross-border wire transfers of the value of more than ₹ 5 lakhs or its equivalent in foreign currency where either the origin or destination of fund is in India.

g) All purchase and sale by any person of immovable property valued at ₹ 50 lakhs or more that is registered by the reporting entity.

Every entity shall designate a Principal officer, who shall furnish the information in respect of above transactions to the director of FIU – IND by the 15th day of the succeeding month. Every entity shall identify clients and check status and authenticity. Within 10 days of the commencement of account-based relationship with the customer file electronic data to central KYC records registry.

Central KYC Records Registry formed in 2015 must keep centralized data which would include analysis and transformation of data.

Digital KYC process: The process of accepting, verifying, authenticating, and certifying of KYC records which is online and secured.